

KRMN pitch deck

PITCH — KRMN — VERDICT

PROPOSED — PENDING ADJUDICATION — No position today: Karman is a healthy business at a price we will not underwrite, sitting under an open share-issuance shelf; we buy a 0.25% starter only if price reaches ~\$46 **and** the cash-conversion test passes **and** the sponsor's remaining stake is documented at or below 5%.

What we believe

Karman Holdings (NYSE: KRMN, CIK 2040127) makes structural and propulsion hardware — missile bodies, launch-vehicle structures, propulsion components — that it sells to the big defense primes (Northrop, Raytheon, Lockheed) rather than directly to the government. It went public in early 2025, is controlled by a private-equity sponsor group (Trive/TCFIII), and has been buying other small manufacturers steadily (MetalTech, Seemann, and a just-announced \$94M Walker Precision).

Three things we believe, in plain terms:

- 1. The business is not damaged.** Revenue is growing fast (H1 2026 revenue \$333.3M vs \$215.2M a year earlier), management *raised* full-year guidance on August 6, backlog is roughly \$1.3B, and quarterly bookings were “nearly \$500 million.” The stock is down 53% from its high not because something broke, but because it started at a multiple almost nothing can support.
- 2. The price still isn't ours.** At the last close both benches could agree on (\$51.37, Aug 24), the whole company including debt is worth about \$7.5 billion against roughly \$219M of guided adjusted profit — about 34 times. At the price in our own data pack (\$55.94), it's about 37 times. GAAP earnings put it near 190 times. Our own honest fair-value range is \$35.90–\$46.15. We are being asked to pay 20–40% above the top of our own range.
- 3. The profits are not turning into cash.** In the first half of 2026 the company reported roughly \$99M of adjusted profit and produced **negative \$3.0M of operating cash flow**. The gap sits in receivables (\$115.0M, up 46%) and, more importantly, “contract assets” — work performed but not yet billable — at **\$187.1M, which is more than one full quarter of revenue**. Goodwill and intangibles are 57% of total assets. This is a company financing its own growth with its balance sheet, using debt, while buying more companies.

Primary source for the cash and balance-sheet figures: [10-Q for the quarter ended 2026-06-30](#).

Guidance and segment figures: [Q2 press release](#), [Exhibit 99.1](#).

What the market believes

Every analyst covering it — 11 of 11 — rates it a Buy, with an average price target near \$87, implying ~70% upside. Their revenue forecast for this year (\$736.9M) is essentially management’s own guidance midpoint (\$737.5M). In other words, the sell side has copied the company’s numbers and is expressing its optimism entirely through the multiple: even the most conservative target on the street embeds roughly 37 times *next* year’s profit.

The market is also willing to look through the cash problem. The consensus story is: a fast-growing defense supplier with a long backlog naturally builds working capital first and collects later; the secured lenders agree, having *repriced the term loan tighter* (to SOFR + 225bp) on August 3, 2026 — lenders with covenant access and full financial disclosure got more comfortable, not less.

So the market believes: growth is real, the cash gap is temporary and mechanical, and a premium multiple is warranted for scarce defense-supply-chain assets.

Why we might have edge

Four places our reading differs from the consensus one:

1. **The famous “\$61 anchor” is not an anchor.** A common framing is that institutions bought 14.0 million shares at \$61.00 in May, so at ~\$52 you’re 16% below what real money paid. That is wrong on the mechanics: it was an [all-secondary offering](#) — the company received **zero** proceeds. The sellers were the sponsor entities. A seller setting the price at which it unloads its own supply is the *most* conflicted price on the tape, not an independent valuation. And the tape has refused \$61 every single session in the 90 days since.
2. **Supply is a standing facility, not a one-day event.** The company filed an automatically effective shelf registration (S-3ASR) on 2026-05-28, which lets registered holders re-offer stock at any time with no further SEC review. Combined with a sponsor still distributing, this means there is no “after the overhang” moment to buy into. Most bull framings — including our own first draft — assumed a single lock-up cliff after which the coast is clear. There isn’t one.
3. **The cash gap is decomposable, and the decomposition matters.** Most write-ups say “FCF is negative this year” and move on. The specific fact — contract assets exceeding a quarter of revenue at a percentage-of-completion manufacturer — is a different and more serious statement, because it means revenue and profit are being recognized on management’s internal estimates of work completed, ahead of any customer agreeing to pay. That is the single number that decides this thesis, and it is not in the consensus discussion.
4. **The deleveraging story is arithmetic, not cash.** Management guides leverage from 3.7x down to ~3.5x. But with free cash flow around zero, *no debt is actually being repaid*. The ratio improves only because the profit denominator grows. That’s fine while growth continues and violent if it stalls — and it means the equity is a pure bet on growth persistence plus multiple persistence, both at once.

Why it might be priced in

We should be honest that most of the above is a reason not to own it, not a reason to be short, and that several of our “edges” may already be understood:

- **The cash gap is public and lenders looked at it.** The August 3 repricing is a genuine informed-party signal against our fragility read. Secured lenders see the funded-versus-unfunded backlog split that we cannot see, and they got *more* comfortable.
- **Working-capital build ahead of a ramp is normal in this industry**, and it self-corrects when deliveries bill. If Q3 shows contract assets flat and cash positive, our fourth finding evaporates in a single print.
- **Customer concentration cuts both ways.** Two customers being over 10% of receivables sounds risky; those customers are US defense primes, whose receivables are among the highest quality in all of industrials.
- **The de-rating already happened.** Down 53% from the high is the market pricing in exactly the multiple risk we’re describing. Buying nothing at 34x after a 53% de-rate is a real decision with a real cost if the multiple stabilizes here.
- **Our fair-value range is our own opinion, not an external fact.** The \$35.90–\$46.15 range is simply 20–25x applied to next year’s estimate by our own bench. We have documented history of setting these ranges roughly 13% too low. We are rejecting a stock because it is above a number we made up.

What could go wrong

Failure narrative 1 — We are right about everything and still lose (the FLAT loses). The most likely bad outcome is not that we buy and lose money; it is that we never buy. Our \$46 gate is 10% below the current price and sits at 25x next year’s profit. If the defense supply-chain multiple simply stays where it is, KRMN compounds profit at ~25% a year, the price never touches \$46, and we log this as a “correctly avoided” while it doubles. Our own bench flagged that our conservative fair-value habit runs ~13% low; a 13% error on \$46 is \$52 — which is roughly where the stock trades *today*.

Monitorable tripwire: yes — a quarterly re-court comparing the price to a *refreshed* fair-value range, so the gate rises with the estimates instead of ageing into irrelevance.

Failure narrative 2 — We buy at \$46 on a passing cash-conversion print, then the estimates come down. Percentage-of-completion accounting means profit is recognized against management’s estimate of how much of a contract is finished. When those estimates prove wrong, the correction arrives as a lump-sum charge in a single quarter — a “cumulative catch-up.” With contract assets over a quarter of revenue and three acquisitions being integrated, the surface area for estimate revisions is large. A single quarter of positive cash could also be produced by billing timing, satisfying our gate on noise. **Monitorable tripwire: partial** — we can watch the contract-asset balance and the operating-cash line quarterly, but only *after* the fact.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. Karman is a subcontractor. Its two largest customers are **not named** in the filings (“all two customers”), and there is no program-level revenue attribution anywhere. That means the demand side of this business sits on a disclosure plane

we cannot observe: if a prime decides to in-source a structure, re-compete a component, or if a classified or appropriations-driven program is restructured, we learn about it when Karman’s backlog conversion slows — one to three quarters late, with no leading indicator we can arm. There is no filing, no permit, no satellite image, no export record that resolves this. **Unknown-unknown class: counterparty-opaque demand compounded by management-estimate interior** — the customers are unnamed so no per-driver-entity watch can be built, and the revenue is produced by internal estimates rather than external events, so no external plane exists to check them against. This class of risk cannot be instrumented; it can only be sized for.

The reflexive and structural leg. - *Our own size versus liquidity*: negligible and honestly stated as such. A 0.25% starter in a ~\$7B company is far under 1% of a day’s volume; we will not move this price, and we have **not** verified average daily volume — that is a gap, not a conclusion. - *Predicted flow, and whether we’d be bidding into it*: this is the real structural problem. The sponsor is still distributing, an automatically effective shelf sits open above us, and the remaining locked tranches release on **2026-10-01** and **2027-01-01**. Our own doctrine says never place a resting bid into flow we ourselves predict. A limit order at \$46 under an open shelf is exactly that: we would be the designated buyer for a seller who chooses the moment. This is why the entry is conditioned on *documented* sponsor reduction (leg iii) rather than on price alone. - *Doctrine interactions*: (a) our minimum-starter default says a FLAT requires a *named* kill — here the named kills are the valuation gap versus our own range and the standing shelf, not vague discomfort; (b) our rule that a crowded, consensus-agreed name sizes down rather than gets rejected means the correct output is a small gated starter, not a permanent no; (c) the “buy fairly-paid risk” allowance does not apply, because fairness here is *unverified*, not merely rich.

If this position loses money, the most likely reason will be that we paid up for a good manufacturer at a multiple we openly refused to underwrite, and the multiple — not the business — did the losing; and the second most likely reason is that the backlog we bought turned out to be planned rather than funded, a fact neither bench was able to read.

What we checked ourselves

Claim	How we checked it	What we found	Confirmed?
A 90-day lock-up expires 2026-08-26, giving us a dated entry catalyst	Pulled the actual prospectus (424B7 , 2026-05-28) rather than trusting the secondary write-up	No August date exists in the prospectus. The large tranche (~29% of shares) released 2026-07-18 ; the remaining ~11% releases 25% / 37.5% / 37.5% on 2026-07-18, 2026-10-01, 2027-01-01. Our original date came from a blog	REFUTED — our own error
...and our second bench repeated it anyway	Read our own bench output end to end	Our defence bench overturned the “wait for 8/26” trade in its verdict but left “2026-08-26 lock-up expiry, 2 sessions out” standing in its detector list and closing paragraph. Two contradictory dates survived inside one document	BENCH ERROR — internally inconsistent

Claim	How we checked it	What we found	Confirmed?
\$61.00 secondary is an arms-length institutional anchor	Read the deal structure in the prospectus	All-secondary, zero proceeds to the company, sellers were the sponsor entities, struck near 40x forward profit. A seller's clearing price, not an independent valuation	REFUTED — our own framing was wrong
Book-to-bill of 2.7x proves demand	Searched every filing venue for the metric	The company never publishes a book-to-bill ratio. The press release says only “bookings of nearly \$500 million.” The 2.7x was our own bench's arithmetic, presented as if it were a company disclosure	NOT A COMPANY METRIC — our error
The consensus agreeing with us kills the idea	Compared what the street models to what actually drives the thesis	The street matching management's <i>revenue guide</i> proves only that they copied guidance for four months. The genuine disagreement is next year's multiple — where the street is at 37x and we are unwilling to go past 25x. Our prosecution bench called this a fatal kill; it isn't one	BENCH ERROR — kill overstated, reduced to a sizing input
Maritime segment decelerating 20% per month	Recomputed from the segment table	The comparison divides a partial-quarter stub (acquisition closed Feb 3) by an <i>estimated</i> number of revenue-days that the company never discloses, against one full quarter, with no seasonality control. Our own mandated seasonality tool was not run by either bench	ARITHMETIC OK, INFERENCE UNSOUND — bench error
H1 operating cash flow was negative	10-Q, primary	Operating cash flow −\$3.0M ; capex \$21.9M; contract assets \$187.1M vs Q2 revenue \$182.1M (1.03x); receivables +46%	CONFIRMED
Adjusted profit is clean	Read the reconciliation in Exhibit 99.1	Adjusted EBITDA is fully reconciled (\$1.39M transaction + \$1.94M integration + \$1.44M stock comp added back). “Organic growth of 24.4%” is reconciled nowhere — no definition, no acquired-revenue bridge, in any venue. Segment growth is disclosed only on a <i>total</i> basis, where Space & Launch grew just +6.3%	PARTIALLY CONFIRMED — organic figure is untestable
Stock comp is low, so dilution is modest	Compared to the prior-year column	\$1.44M this quarter versus \$8.08M in the prior-year first half — a post-IPO transition trough, not restraint. With a new CEO seated 2026-03-23 and the 2025 incentive plan ramping, this rises from here, degrading adjusted profit quality	CONFIRMED — bull framing was wrong
We know today's price	Attempted a live broker quote	We do not. Our data pack says \$55.94; our prosecution bench used \$52.875 while labelling it the pack price, and separately quoted a \$51.37 close for 2026-08-24. The live broker feed was permission-denied in this session.	NOT CONFIRMED — live-price rule violated

Claim	How we checked it	What we found	Confirmed?
		The spread between \$51.37 and \$55.94 is 8.9% and moves the multiple from 34.4x to 37.2x	
No pre-IPO debt-funded dividend to the sponsor	Searched the offering documents	None found; the sponsor monetised by selling stock, not by loading the company with debt to pay itself. The absence is a genuine positive and we record it as one	CONFIRMED (clean)
Is the \$1.3B backlog funded or merely planned?	Attempted program-level attribution	Could not be answered. Karman sells to primes, so its content is buried inside the primes' program lines; the company discloses no program-level detail. This is the hinge of the entire thesis and it is unread	UNRESOLVED

PROPOSED ENTRY BANDS

Today: no entry. No resting order. No armed band above \$46. Arming a bid above \$46 would place a standing order underneath an open share-registration shelf held by a seller who chooses the timing — we would be volunteering as that seller's counterparty.

The three-legged entry gate (all three required, conjunctive):

Leg	Condition	Where the number comes from
i. Price	≤ \$46.00	25x FY27 estimated EBITDA of ~\$273M: $(25 \times \$273M) - \$716.7M \text{ net debt} \div 132.53M \text{ shares} = \46.09 . This is the top of our fair-value range, not the middle.
ii. Cash	Q3 operating cash flow positive, with contract assets plus inventory flat-to-down in dollars versus \$187.1M	Directly refutes the strongest bear finding; one quarter of the unbilled balance converting to cash is the test.
iii. Supply	A completed final lock-up tranche, or a Schedule 13D/G showing the sponsor stake at or below 5%	Ends the standing-supply structure; without it, the shelf makes any entry a bid into predicted flow.

- **Size if all three legs clear: 0.25% of the book.** Capped there regardless of how good the print is, because at 34–37x this is a bet on a multiple we do not set.
- **Adds:** none defined. A second tranche would require a fresh court, not a mechanical ladder — the reason we cap at a starter is unresolved (funded-vs-planned backlog), and adding on price alone would be adding on the thing we can't verify.
- **Deeper re-court band: \$35.90.** That is 25x *this* year's guided profit — the level at which the valuation objection disappears entirely and the case can be reopened on the cash question alone, without leg (iii).

- **Trims/exits:** not applicable — no position. If entered, the exit condition is the mirror of leg (ii): contract assets re-expanding above one quarter of revenue with operating cash back below zero.
- **Catalyst dates:**
 - **2026-10-01** — second lock-up tranche releases (37.5% of the ~11% still locked, roughly 4% of shares outstanding). From the prospectus; the most credible dated supply event.
 - **2026-11-05** — expected Q3 report. **Unconfirmed** — this is a data-vendor estimate; no company announcement names it. This is the print that decides leg (ii).
 - **2027-01-01** — final lock-up tranche.
 - **2026-08-26** — the date our earlier work claimed and the prospectus does not contain. Watched only to prove the negative.

Why this is a FLAT and not a rejection: the named kills are (1) price is 20–40% above the top of our own fair-value range and (2) an open registration shelf above a still-distributing seller. Both are conditions that expire. Neither is a statement that the business is bad — it isn't.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 35.9 (deck-provisional: Deeper re-court band: 25x FY26 guided adj EBITDA midpoint \$218.75M; valuation objection fully cleared)
- filing watch: 10-Q until 2027-02-21 (deck-provisional: Q3 filing: extract operating cash flow, contract assets vs \$187.1M, and inventory — this is entry leg)
- dated pack KRMN|2026-10-01: KRMN: Second lock-up tranche releases: 37.5% of the ~11% still locked, roughly 4% of shares outstanding (per 424B7 dated 2026-05-28). (date confirmed=True)
- dated pack KRMN|2026-11-05: KRMN: Expected Q3 2026 report — decides entry leg (ii); vendor-derived date, no company PR names it. (date confirmed=False)
- dated pack KRMN|2027-01-01: KRMN: Final lock-up tranche releases: remaining 37.5% of the ~11% locked block. (date confirmed=False)
- dated pack KRMN|2026-08-26: KRMN: DISPUTED date claimed as a lock-up expiry by an earlier draft and by one bench's detector list; the 424B7 prospectus contains no August

What remains unverified

1. **Whether the \$1.3B backlog is funded or planned.** This is the hinge on the entire thesis and neither bench could read it — Karman is a subcontractor, so its content does not appear in government program budget lines, and the company discloses no program-level detail. Unresolved, and possibly unresolvable from public sources.
2. **Today's actual price.** \$51.37 versus \$55.94 across sources; the live broker feed was permission-denied. Multiple ranges 34.4x–37.2x depending on which is right.

3. **What “organic growth of 24.4%” means.** No definition and no acquired-revenue bridge in any filing, while adjusted profit gets a line-by-line reconciliation. The choice to reconcile one and not the other is itself information.
 4. **Whether Space & Launch is growing organically at all.** Total segment growth was +6.3%; with acquisitions inside that number, the organic figure could plausibly be flat or negative.
 5. **The Maritime segment’s stub-period revenue basis.** The company never disclosed how many days of revenue the Q1 partial period contains, which makes the deceleration claim untestable in either direction.
 6. **Seasonality was never tested.** Our own rules require running the seasonality tool before asserting any deceleration; neither bench ran it.
 7. **Undrawn revolver capacity** under the August 3 Fifth Amendment — relevant to how long the negative-cash period can be financed.
 8. **The Seemann acquisition’s consideration split and how much backlog came with it** — needed to separate bought growth from built growth.
 9. **Average daily volume**, and therefore the true liquidity constraint on any position.
 10. **The identity of the two customers over 10%** — undisclosed, which is precisely why the third failure narrative has no tripwire.
 11. **Why the stock fell 3.8% on 2026-08-24.** Attributed to nothing in particular; an unsourced attribution is a story, not a finding.
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